Coralville City Council
Work Session
January 20, 2026
City Hall

Present: Mayor Laurie Goodrich, Council Members Mike Knudson, Rich Vogelzang, Hai Huynh, Royce Peterson, Mike Knudson.

Staff Present: City Administrator Kelly Hayworth, Fire Chief Orey Schwitzer, Director of Parks and Recreation Sherri Proud, Streets and Solid Waste Superintendent Eric Fisher, Director of Parking and Transportation Vicky Robrock, City Clerk Thor Johnson, Police Chief Kyle Nicholson, Community Development Director Dave Johnson, Library Director Alison Ames Galstad, Wastewater Treatment Superintendent Chris Worrell, Water Superintendent Jordon Altenhofen, City Engineer Scott Larson, Director of Finance Ann Hester.

Several members of the public were in attendance.

Mayor Goodrich opened the meeting at 4:30 pm. Goodrich thanked the staff for their work on the budget.

1. Fiscal Year 2027 Budget Presentation and Discussion by the Management Team:

Director of Finance Ann Hester shared the assumptions used in preparing the draft Fiscal Year 2027 budget: an increase of property value by 4.67%; application of a 2% limitation factor; and $332,217 in new property tax dollars. Hester said rising equipment costs continue to impact the budget and the increase in budgeted wages for COLA from the Fiscal Year 2026 budget is $862,612. The remaining deficit in the budget is $439,042. She also reviewed the backfill history and phaseout and transit general fund support and federal funding support. The tax levy is expected to be $14.52739 which is the same as last year. City Administrator Kelly Hayworth noted the COVID funds for transit were consumed in FY2025.

Knudson asked of the increase in wages includes benefits. Hester responded it does not because benefits are not included in the general fund. Benefits will increase $386,000. Hayworth added there is a concern if the state legislature will continue to let property and liability, benefits and transit get to be levied separately. One proposal lumps these levies all together with property taxes and subjected to the 2% increase limit. This is a major concern because the increase in wages and benefits and insurance premiums will be over 2%.

Department heads then reviewed their proposed budgets.

Director of Parks and Recreation Sherri Proud reported their goal in Fiscal Year 2025 of having revenues covering expenses was 61.1% and the ended the Fiscal Year at 61.6% which is $50,000 more than their goal. Proud recommends holding part-time wages at the current Fiscal Year 2026 wage scale. They have been increasing these wages since Fiscal Year 2000 and now feel the part-time wages are competitive. In Parks they are requesting a joint purchase with

Stormwater fund of a Versitrac, which is a nimble unit able to navigate steep and uneven slopes and will be used to maintain stormwater infrastructure. The cost to both departments is $22,500 and Parks has set this cost aside in reserves and will not increase the budget. They are also requesting $7,440 in part-time pay to focus on stormwater infrastructure maintained by the Parks Department. Proud asked for an additional $11,500 to finish the HVAC Controller project which includes Fire Station #1 which has no controllers except at the boiler. In Recreation they are recommending the 50% Clerical Assistant position be increased from 4 days to 5 days a week at a cost of $9,000. They also want to add cameras inside and out at the Youth Sports Park to hopefully reduce vandalism and keep an eye on the inside of the concession stand where they keep cash and supplies. In the Partnership fund ICCSD has requested afterschool services for preschoolers in their all day or afternoon preschool for all their buildings. This has been budgeted as a revenue neutral program with a $68,000 increase in revenues and $67,000 increase in expenses. They also request $2,000 to $3,000 from Other Agencies Human Services for BASP and Summer Camp scholarships. This fund was cut from $20,000 to $10,000 and they have 5-10 kids waiting for those scholarships to participate. Each program sets aside 10% of program positions to serve families with scholarships. Proud reported the CCPA is up $100,000 in ticket sales this year and $30,000 up in education programs. Proud recommends adding a half-time Development Director to work diligently to increase donor funds. A staff member with Huron Group believes this position could raise over $60,000 in the first year, $120,000 in the second year and $240,000 by the third year. They recommended taking $60,000 from the common area maintenance fees for the Plaza on 5th building for three years to pay for the position. The CCPA recommends the addition of a half-time Clerical Assistant/Front House Coordinator. They propose to pay for this position with a $1-2 ticket price increase per the 9-11 CCPA produced shows, $2-5 per CCPA education program and an increase for traveling Footliter Playhouse camp where staff travels farther than 1 hour. The Brown Deer Golf Club budget has been built a 7,000-round increase over the Fiscal Year 2026 budget with the 1 to 1.2 season closure of Finkbine. Proud recommends moving the Golf Course Coordinator position to Golf Superintendent effective February 1, 2026, which has been budgeted for in the Fiscal Year 2026 and 2027 budgets. This is a $14,000 increase and is covered by revenue. They also want to move the Assistant Golf Coordinator position to an Assistant Golf Superintendent also effective February 1, 2026, and is budgeted in the Fiscal Year 2026 Budget. This is a $20,000 change and is covered by revenue. They recommend an increase of $1 per round and $1 per golf cart rental at Brown Deer Golf Course.

Library Director Alison Ames Galstad noted personnel costs are 70% of the library budget and she is proposing a 5% increase in materials. The Library budget includes replacing the public computer array, 40 thin clients, 2 servers, UDS Enterprise software and system set up for $100,000 which will be paid out of their reserves. The library budgets $10,000 to go into each of their four reserve accounts. Galstad said the library is not adding any staff but is continuing to integrate the Community Outreach Coordinator position from a partially grant funded position to fully funded Library salaried position. Galstad noted the primary book vendor for libraries, Baker & Taylor, abruptly closed last year, and they are sorting out pricing models from other vendors with varying levels of service. Their circulation of eMedia continues to increase and the pricing of those materials is consistently high, and pricing models are volatile as vendors continue to adjust to this market.

Community Development Director Dave Johnson said his proposed budget does not propose any changes in fees and revenues from Building and Planning and Zoning are projected to be $613,400 and is consistent with previous years He said rental permit revenues were expected to have a 3% increase and be $290,000 because they are expecting 200 more units. Johnson noted there are no new operating, equipment or software in Fiscal Year 2027 and total expenses will be $835,708. Johnson also noted the department is self-supporting.

City Engineer Scott Larson said the proposed budget for his department includes an increase of $10,000 for engineering consulting. There is a $18,000 decrease in Technology Consulting due to in-house work performed by the Assistant Engineer and GIS Specialist. The rest of expense account lines are generally unchanged from Fiscal Year 2026.

City Engineer Scott Larson reported the Stormwater Reserve is contributing $117,500 to the Street Sweeper Replacement estimated to cost $433,000 in Fiscal Year 2026. Larson recommended increasing the Design Consulting Engineering lines by $10,000 and the BMP grant program funding by $5,000. The budget includes a $17,000 decrease in Cinstruction Stormwater due to available reserves and no planned stormwater projects. The rest of expense account lines are generally unchanged from Fiscal Year 2026.

Finance Director Ann Hester reported that the CoralVision budget reflects $8,100 in declining revenues from the MediaCom franchise fee, and an increase in salaries and benefits. Telephone costs and professional IT services are expected to increase based on Fiscal Year 2026 actuals. CoralVision' proposed budget increase includes moving their Adobe software from an individual plan to an enterprise plan to streamline productivity and boost collaboration between Telecommunications and Communications staff.

Police Chief Kyle Nicholson reported some budget lines show significant increases while others show no funding because they reflect an effort to consolidate budget lines. The budget proposes hiring one additional police officer, $5,000 in funding for a sergeant assessment center in anticipation of the retirement of Sgt. Sutton in January 2027, putting $100,000 into reserves to replace the TAC10 system which has reached capacity, funding to meet new CJIS security requirements, $18,000 allocated for the second year of the Flock Safety contract, funding a second full-time mental health liaison shared with the Johnson County Sheriff's Office and North Liberty Police Department, and funding for three new police vehicles and associated equipment as part of the regular fleet replacement cycle. Nicholson said the estimate for the animal shelter cost for Fiscal Year 2027 is $97,200. Coralville's three-year average intake is 237 animals per year representing 11.7% of total shelter intakes.

Fire Chief Orey Schwitzer reported revenues will be down because the Iowa Medical Classification Center is not required to pay for fire protection and fire permits are down a little bit because commercial building is down and fire sprinklers are not required in residential buildings. The Fire Department proposed budget includes an increase in cost of living and benefit costs, increasing costs for required physicals, they can no longer wait to pay worker's comp to see if trainees will be staying and have to pay starting on day 1, increased costs for

PPE and fire gear costs, and no additional funding for reserve transfers for vehicle replacement despite increasing costs for apparatus.

Streets and Solid Waste Superintendent Eric Fisher said the Streets budget includes Road Use Tax Fund dollars budgeted at $3,135,679 based on IDOT estimates of $140.00 per capita, which is 50 cents decrease from last year and the first decrease he has seen in RUT funding. Fisher reported Service and Commodities line items remained steady from Fiscal Year 2027 and Personnel Services increased by $44,000. To balance the budget Equipment Reserves have been reduced to offset the increase in Personnel Services and decrease in RUT funding. Fisher requested replacement of 2015 F350 Dump Body, 2019 Pickup Truck, 2009 Vac Trailer and 2016 plow truck to be paid from Reserve Funds. They are continuing the 750 Camp Cardinal site study with a 20-year outlook that includes site design and cost estimates for expanding cold storage, salt storage and construction of a salt brine facility and integration of design plans with the proposed recycling facility and relocating Solid Waste.

Streets and Solid Waste Superintendent Eric Fisher said the proposed Solid Waste budget anticipates an increase of $40,000 from increased customers and an additional $90,000 from rate increases. Fisher noted refuse cart fees have not increased since cart collection began in 2009. Fisher proposed a rate increase for 35-gallon carts from $4.17 to $5.00 per month and for 65-gallon carts from $7.00 to $8.50 per month. This would generate an additional $80,000 in revenue annually. Fisher reported Coralville collects bulky items curbside weekly for free while surrounding communities charge for this service so he proposed a fee structure that would mirror Iowa City's fees for this service and generate approximately $8,000 in revenue annually. This budget includes the $230,000 purchase of an automated refuse body for a truck purchased in Fiscal Year 2026.

Water Superintendent Jordon Altenhofen reported the budget excludes debt service and transfers to reserves. The Fiscal Year 2027 Budget remains basically flat. This budget includes the replacement of the existing valve exercise trailer from the Reserve Fund for $135,000. Altenhofen asked for$25,000 for private service line investigations for eliminating unknown service line classification from the Lead Service Line Inventory; $45,000 for installing "direct to PLC" HMI panel views for cyber security resilience, $12,500 for minor grounds work/tree removal at the Water Plant and pump station and $15,000 for minor equipment purchase of commercial grade dehumidification at the Water Plant.

Wastewater Treatment Superintendent Chris Worrell said his proposed budget includes a 37% increase of $725,641 due to additional funds added to reserve accounts for unexpected repairs and replacements as well as planned capital improvements. Capital projects include 3rd Avenue Lift Station electrical upgrades, Oakdale Trunk Sewer Repairs, sanitary sewer cured in place pipe repairs and Gravity Belt Building MCC Panel and electrical upgrades. City Administrator Kelly Hayworth stated it is good to have Worrell here as the new Wastewater Treatment Superintendent and noted Worrell has worked for the city for 34 years and he started as Superintendent yesterday.

Parking and Transportation Director Vicky Robrock said the proposed Transit budget remains largely consistent apart from the discontinuation of the North Liberty service this June which will result in decreased revenues, operations and expenses associated with their ADA paratransit services. Robrock requested $45,000 for capital expenses for ADA bus stop improvements and ensure the city has a local match to fund five 40" fixed route busses to be replaced in the next 3-5 years. IDOT estimates the cost to exceed $1,000,000 per bus. There is also a request for $132,000 for a new fare collection system which is not an addition to the Fiscal Year 2026 budget, but a carryover based on timing of the project. City Administrator Kelly Hayworth noted the funds transit received from COVID is ending which were used to keep the General Fund subsidy down, but it has still gone up every year and that is a continuing concern. Hayworth added Robrock is working to maximize the amount of federal funds we receive and used close to 100% this coming fiscal year.

Parking and Transportation Director Vicky Robrock proposed a 3.25% increase in wages for parking cashiers and enforcement, which are part time positions, for the Parking Department in the Fiscal Year 2027 budget. Robrock requested a 5% increase in parking facilities replacement funds, which is an increase from $165.38 to $173.65 per space due to the increased costs of materials, services and equipment along with additional maintenance issues with the age of the facilities. Robrock asked for $40,000 to replace level 2 EV chargers in the West Ramp which are no longer supported, $47,000 to replace the credit card magnetic strip reader with EMV chip readers in the North Ramp and South Lot which is not an increase in the Fiscal Year 2026 budget, but a carryover based on timing of the project.

Finance Director Ann Hester reported the city hired an asset manager to help with increasing the number of rooms booked and determine what room rates are competitive after the recent renovations. Hotel budget revenues are up 4.5%, which comes to $600,000, and total revenues equaled $13,900,000. Expenses like financing, utilities and supplies increased $233,000 or 4.27%. City Administrator Kelly Hayworth noted our Financial Adviser Tim Oswald with Piper Sandler is working with our Asset Manager on Hotel projections to share with the Council.

Finance Director Ann Hester reported the biggest changes in the General Fund were the cost of living increases for wager, the cost of employee benefits and an increased costs for insurance.

Finance Director Ann Hester reported the Budget needs to be received by the State by April 30th. The Tax Levy needs to be submitted to the State and Johnson County by March 5th, and Johnson County will send out their tax levy and public hearing notice by March 15th. City Administrator Kelly Hayworth added the budget will be completed in February. Hayworth and Hester will continue to work on closing the deficit and figuring out how changes from property tax legislation will affect future budgets. Hayworth noted the City's Financial Advisor Tim Oswald has been working with the Iowa League of Cities on models showing the impact for each property tax proposal. So far there have been two proposals from the governor and senate, and another will be submitted by the house republicans. This year they ran the model for Coralville before the County sent their information. The county had property tax revenues increasing 4.7% and the model had a 4.6% increase. Hayworth was concerned if the city is only allowed a 2% increase in property tax revenue and you couldn't increase the benefit or

insurance levies we would need to cut well over $800,000 and there are not a lot of options without cutting staff.

The work session was suspended at 6:03 pm for the regular meeting of the City Council.

The work session resumed at 6:10 pm.

2. Coralville Community Recreation Center Project Update:

Parks & Recreation Director Sherri Proud reported that 60% of the schematics are done and drawings should be done by the middle of February. That is when they will be handed over to the Construction Manager who will provide cost estimates by the end of February. In the beginning of March, they will know if they are on track with what is budgeted and if they can afford everything on the Master Plan. After that they will work on design development documents which include details on how the design works, staffing needs, utilities and other specifics. In June or early July, they will have the groundbreaking and start on grading and utilities. The next public input opportunity will be at a March 10th Open House with 4:45 pm or 5:15 pm time frame at City Hall before the Council Meeting. Proud noted, almost everyone on the LOST Vote team has signed up to be project ambassadors and will meet every other month to hear updates and figure out how to outreach, raise funds. Their first meeting will be on February 28th. Proud reported they want to work on the S.T. Morrison Park portion of the Civic Campus Plan during this project. People have been meeting and using S.T. Morrison Park for 59 years and they will celebrate the 60th Anniversary in 2027. They will start their fundraising effort with local businesses and grant and then they will identify individuals for legacy building requests. Coming up for the City Council, at upcoming meetings will be selecting a Construction Manager at-Risk, an architectural services agreement with Neumann Monson, a geotechnical consulting contract that is not part of the Neumann Monson agreement. They will work on getting the subcontractors paired down and their pricing into the Price Guarantee contract. They are also working on the 28E Agreement with the Iowa City Community School District for their contributions for the Aquatic Center competition pools and operation costs. The contribution from the school district for the build is $14,000,000 and that amount has been set. City Administrator Kelly Hayworth added the school district has dedicated a lot of staff time towards this project. Proud reported the entire estimate for the build is $48,000,000 and when you add costs related to the Construction Manager at-Risk agreement, architectural and geotechnical and other costs the price is estimated at $54,000,000. The goal for the Civic Campus is $4,000,000. They are looking at covering these costs with $40,000,000 from LOST money, $14,000,000 from the school district, and a goal of $4,000,000 to be raised through sponsorships, naming rights and donations. Councilperson Royce Peterson asked about the recommendations for Construction Manager at-Risk. Proud responded they will be reporting and discussing that at the January 27th Council Meeting. Proud went on to briefly describe who was on the selection committee and the process they used to make a recommendation, which included the RFQ, RFP, interviews and references. The committee recommended Russell Construction noting they offered the best value for the project, have experience with the Construction Manager at-Risk process, their main office is in the Quad Cities and have worked on over $3,000,000,000 worth of sports, pool and recreation projects. Proud listed the number

and type of projects they worked on and highlights from their references. Proud and Hayworth answered questions and there was a discussion on the selection process and scoring results. This included how the references affected the selection, when they happened and why they were not scored, which Proud admitted if she did this again, she would score the references. References and more details on the scoring and selection will be part of the agenda packet for the next Council Meeting.

3. Enterprise Rates Discussion:

Finance Director Ann Hester provided the Council with a table showing how our water rates are compared with surrounding communities including Cedar Rapids, Iowa City and North Liberty. The table converted communities that charged by gallons to cubic feet, so they are easier to compare. Coralville's rates were the lowest, Iowa City and Cedar Rapids charge rates on the amount of water that is used and charge lower rates for businesses and industries that use a lot of water, so the more water you use the less you pay. This practice is less common today. Hayworth informed the Council will have models from our financial advisor and an updated CIP to help them determine if and how much utility rates should be in Fiscal Year 2027. A similar table was given to the Council for comparing Wastewater rates from the same surrounding communities and it also converted gallons to cubic feet for easier comparisons. Iowa City's rates were closest to Coralville's. The table for Solid Waste rates from surrounding communities had a wider variety of how surrounding cities charged. Proposed container fees were included in the budget. Water deposit fees were discussed next, and the Council was told the deposits no longer cover the cost of final utility bills and once they move those costs are not easy to recover. State Law limits deposits to the average total cost over a 90-day period which in Coralville is $170. Staff are proposing raising the deposit between $120 and $150 which is closer to what surrounding communities are charging. The deposits from renter cannot be lined because they do not own the property and the state has a process where landlords can use to not be liable for the unpaid utility bills of their renters if they have separate meters for each unit. Next the Council was informed the city's late fee charges are 10% of their utility bill. Hayworth informed the Council the CIP will help determine if rate changes are needed.

4. City Administrator's Time:

City Administrator Kelly Hayworth reported they will be looking at the General Fund budget next Tuesday and they will work on where they can balance the budget. This can be difficult to know what to recommend because there is never enough time between when the state passes a new bill and when we have to pass the budget. Hayworth explained they did not discuss LOST because the numbers have not changed since the election and Fiscal Year 2025 numbers have not been updated yet by the County, so they are still using the numbers from Fiscal Year 2024. Hayworth noted COVID was the only time the state did not increase the per capita for Road Use Taxes and Hayworth has never seen them go down before. The decrease could be because people are not traveling as much or there are more electric, hybrid and fuel-efficient vehicles out there. Councilperson Rich Vogelzang asked what Coralville's credit rating is. Hayworth responded B- but they will hear from S & P at the end of the month about the reevaluation. Councilperson Royce Peterson reported Corridor Energy Cooperative (formerly Linn County

REC) has not been responsive to residents on the north side of Coralville on fixing the cause of power outages and suggested the city should have a representative on their Board. Hayworth responded we could request that from Corridor Energy Cooperative. Peterson asked if the Iowa Utility Board has a representative for this type of complaint.

Mayor Laurie Goodrich adjourned the work session at 7:30 pm.

Notes taken by Thorsten J. Johnson, City Clerk